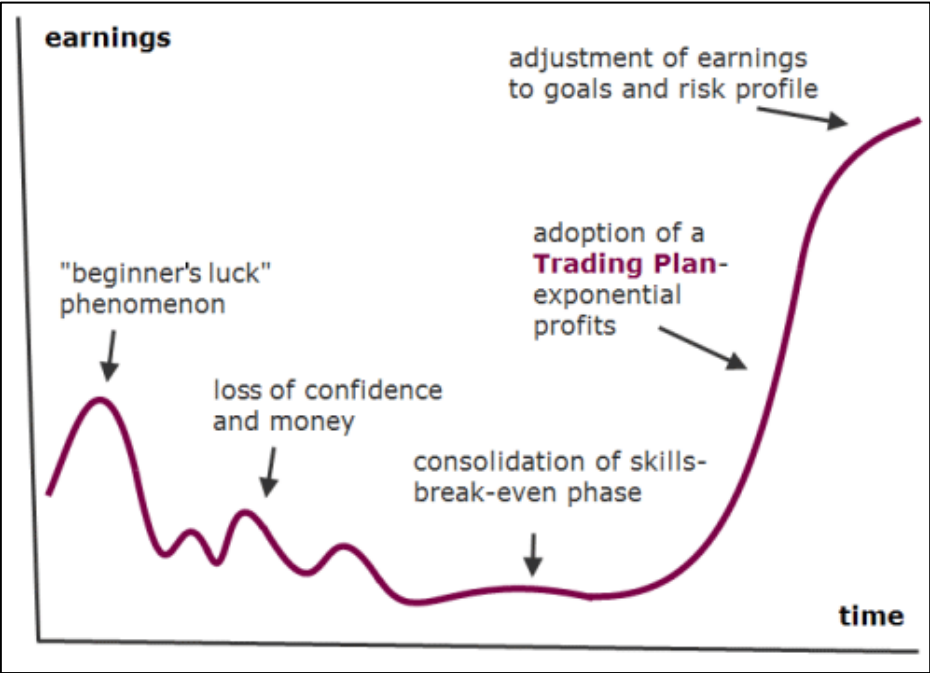


# **Understanding learning curve in trading**

## You will learn :

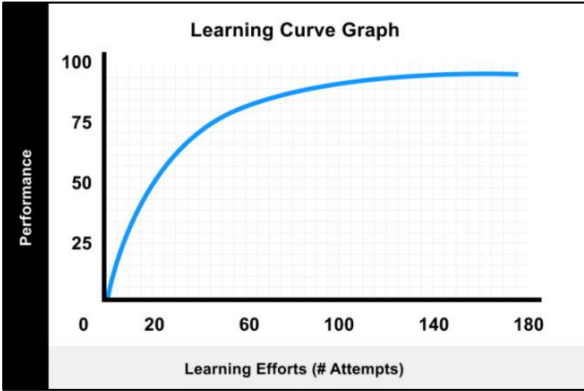
1. Understanding learning curve in trading
2. Emotion & Traders's action each phase

1. Understanding learning curve in trading

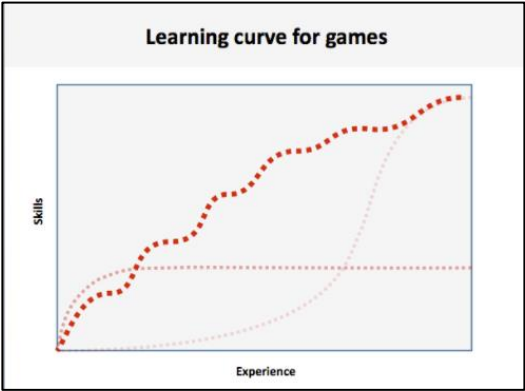


Trading / Investing

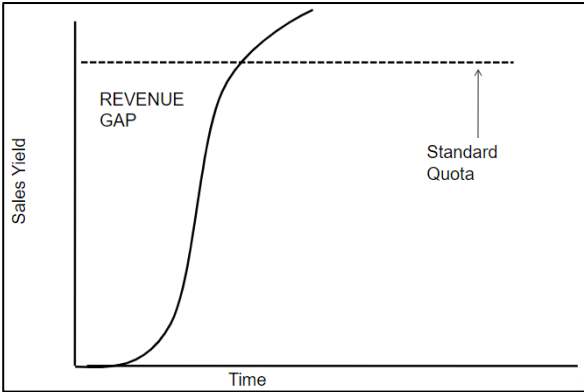
Hardest & Longest road



Football

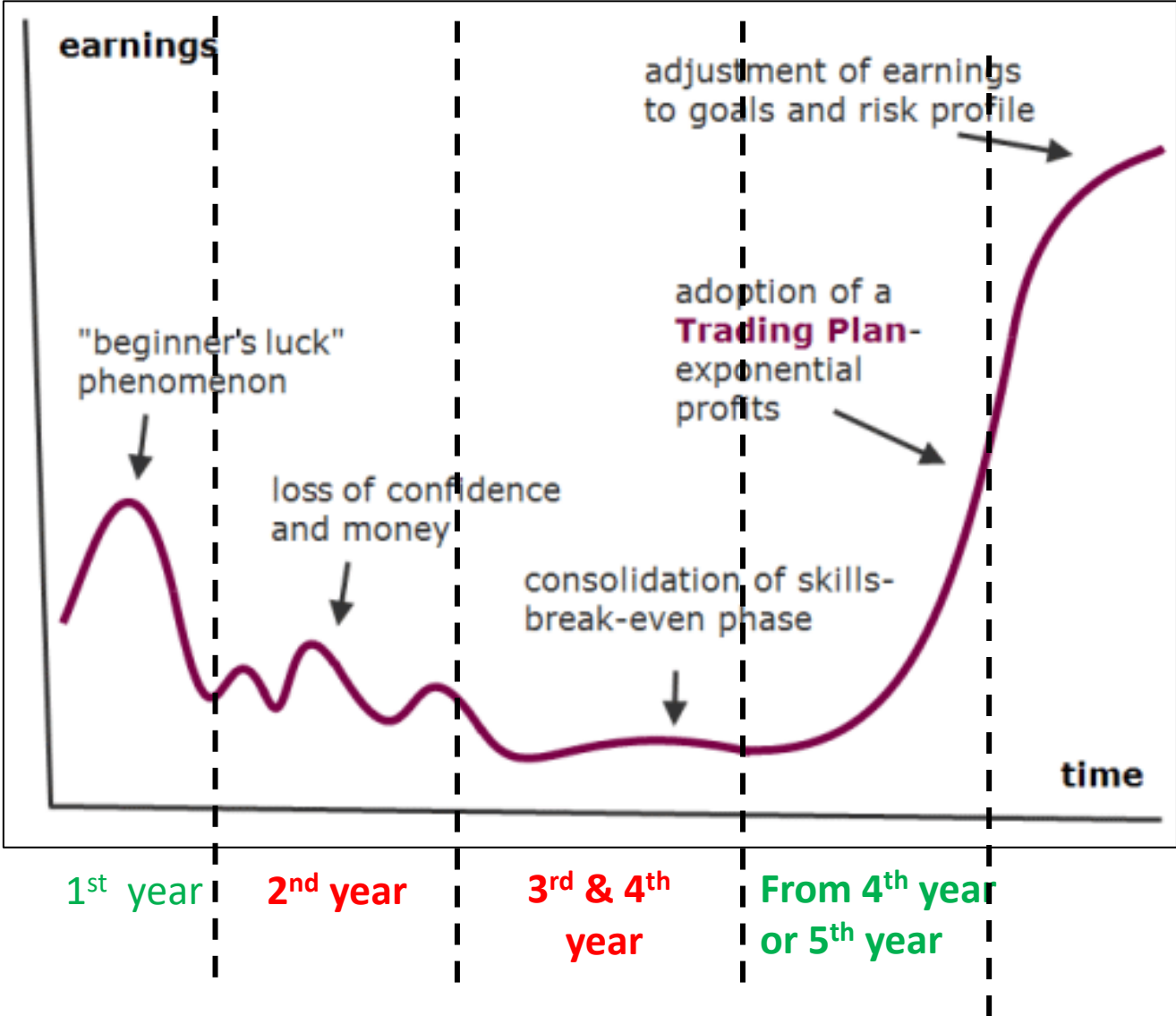


Gamming



Sales

1. Understanding learning curve in trading



Phase 1 : Feel confident – “ Every thing is easy “ **1<sup>st</sup> year**

Watch Youtube strategy (pieces by pieces) -> Win -> Loss -> Confident

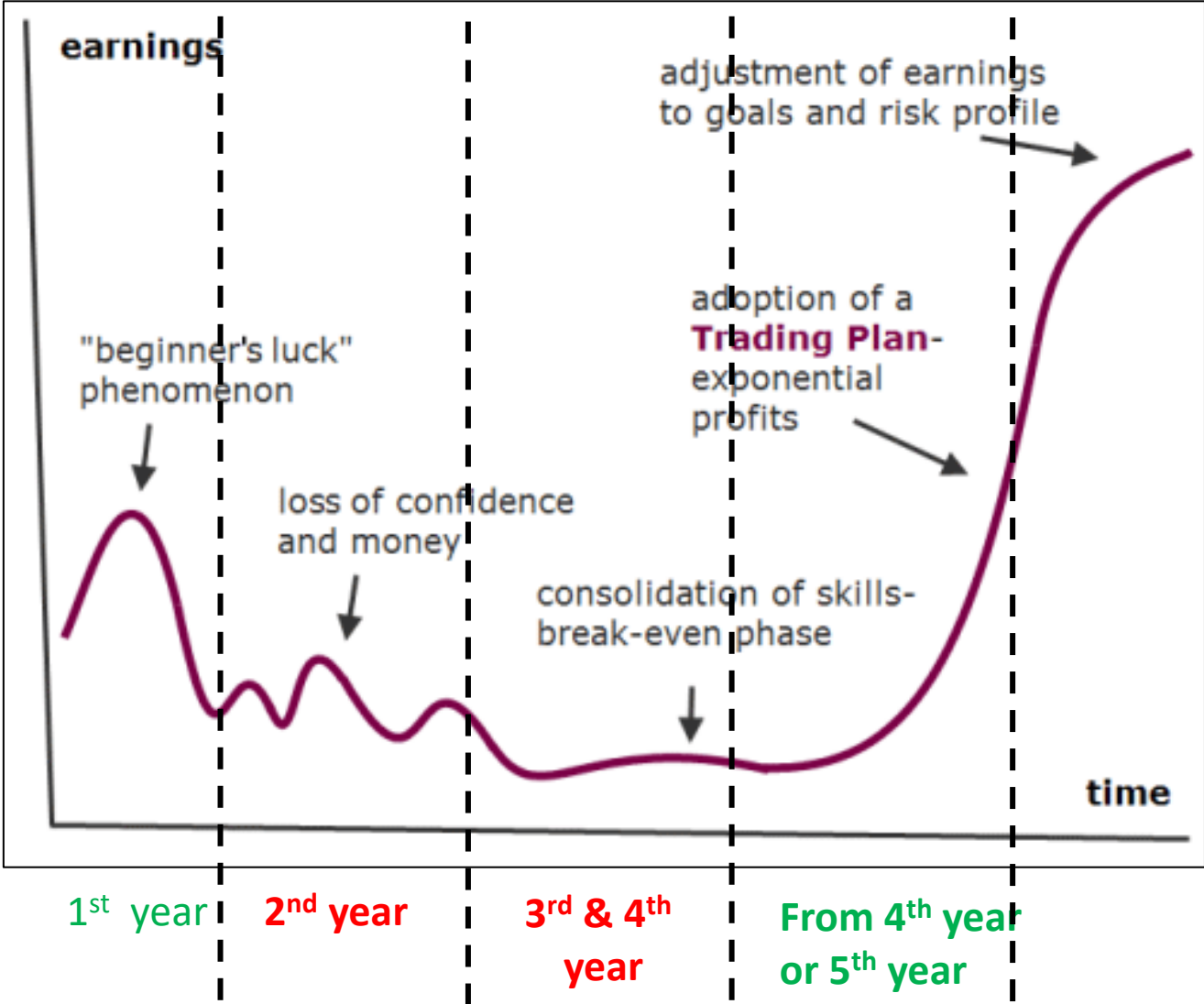
Phase 2 : Loss money – Loss confident **2<sup>nd</sup> year**

Deposit money --> Trading with instinct / No obviously strategy  
→ Small WIN  
→ All in account  
→ Loss → Small win  
→ Losses all account  
→ Depressed / Gambling  
→ Give up (80% traders)

20% Traders → Reading books / Watching Youtube → New Indicator/ Strategy

→ Mix strategy → Winrate : 55% RR: 1.1 :1

1. Understanding learning curve in trading



Phase 3 : Strategy is not obviously

3 – 4<sup>th</sup> year

New Strategy -> backtest -> Fail

New Strategy -> backtest -> Fail

New Strategy -> backtest -> Fail

New Strategy -> backtest -> Break even

10% break even

Phase 4 : Make strategy to be Simple & Understand big pictures

Focusing 1 – 2 entry strategy & Backtest & Improve everyday.

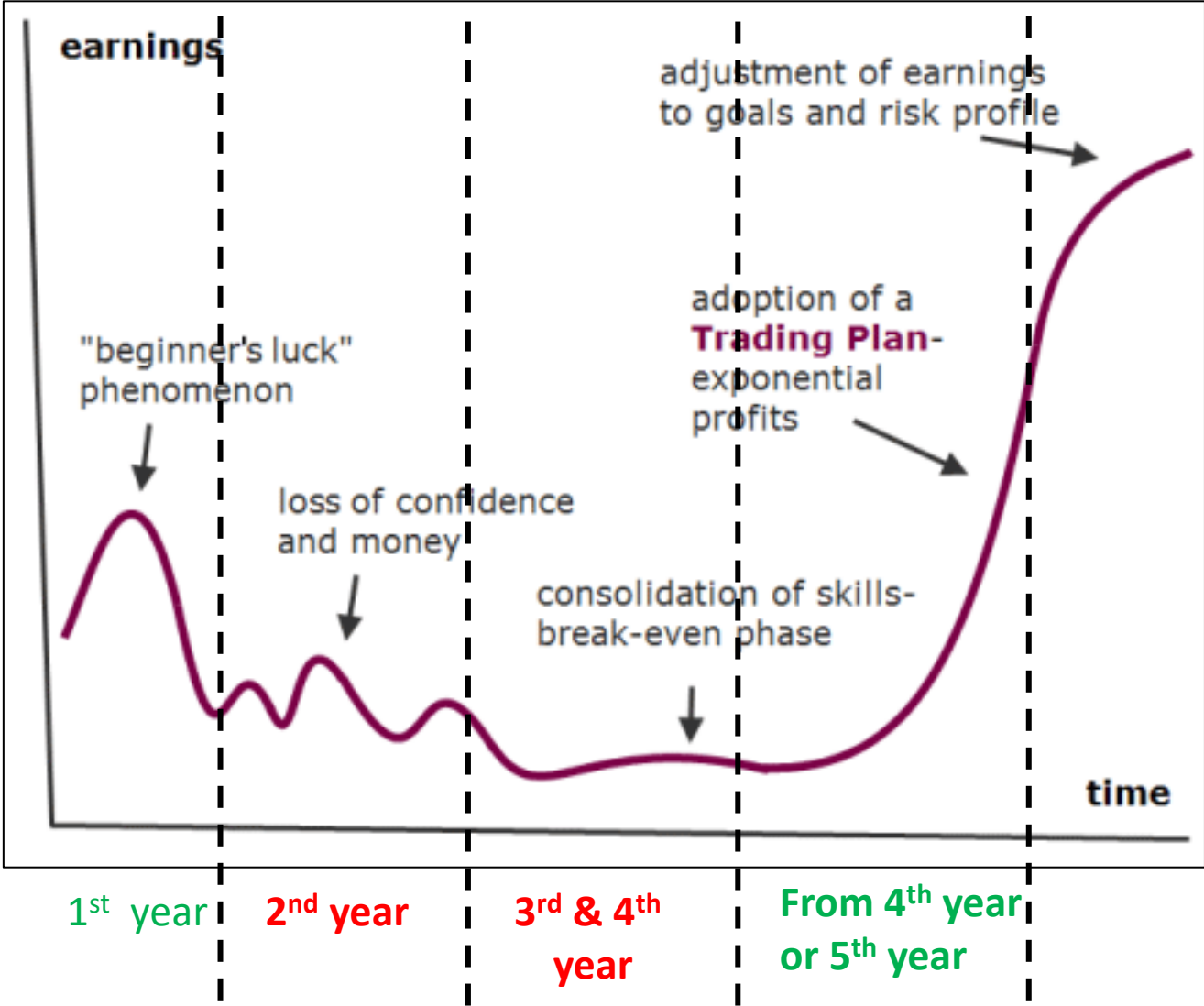
Realize " These knowledge already learned from the 1<sup>st</sup> time" but  
You don't focus because of finding some " magic pills".

Strategy can explain 70% movement of market – some trade fail

Win rate : 60% . RR : 2.5 – 3 times

Having the profit quite stable

1. Understanding learning curve in trading



Phase 5 : Understand almost market movement

Improved the simplest strategy and master 1 -2 strategy  
Only trading 4 – 8 favorite pairs  
Win rate : 70%  
RR : > 4 : 1 ( normally 5 – 10 times)  
Drawdown < 10 %  
Quick stoploss – Trailing stop system  
Control lot size based on account discipline  
Having SOP & Follow & Continue improving every day  
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